APEX COMMERCE — CONFIDENTIAL OPERATIONAL & SUPPLIER AUDIT

Page 1: Supplier Contracts & Fulfillment Friction

Primary manufacturing contract with Pacific Rim Fabrication expired in February 2024. The renegotiated terms introduced a mandatory 11% surcharge on titanium fasteners and micro-controllers. Furthermore, minimum order quantities (MOQ) were increased from 1,000 units to 2,500 units, increasing working capital lock-up by $65,000. Carrier fuel surcharges for air freight have averaged 18% above budget.

Page 2: Marketing Channel Attribution & Customer Returns

Meta advertising performance dropped significantly following platform privacy updates. Blended Customer Acquisition Cost (CAC) rose from $38.50 in Q4 to $84.20 in May 2024. Customer return rate on the V2 product line increased from 3.2% to 7.8% due to inconsistent packaging protection during freight transit. Recommended corrective action: Pause underperforming retargeting campaigns and negotiate bulk corrugated box supplies.